

ORIGINAL

(S E R V E D)
(FEBRUARY 27, 1992)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

February 27, 1992

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

**SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.**

CLAIM OF WORK PRODUCT PRIVILEGE DENIED

This presents the question of whether a respondent's earlier preliminary drafts of the 1988 (revised) and 1989 G.O. 11 reports and workpapers are protected by the work product privilege.

Background:

By complaint received December 9, 1989, complainants challenge the rates of respondents Sea-Land Service, Inc. (Sea-Land) and American President Lines, Ltd. (APL) in the U.S. mainland-Guam trade. Complainants' "theory of the case" generally is that

respondents' rates of return from traffic handled in the Guam trade exceed permissible levels. The parties recognize that "G.O. 11 reports" are important to rate of return issues. The General Order 11 report is a financial report which APL is required to file annually with the Commission in order to permit evaluation of the reasonableness of its rates. In performing that function, the Commission will use return on rate base as its primary standard although other financial methodologies may be utilized. See 49 C.F.R. § 552.1 *et seq.* In this complaint case complainants have assumed the burden of proof.

The Present Motion

APL has furnished to complainants its G.O. 11 reports and all supporting workpapers for 1984-1990. This includes the G.O. 11 for 1989, filed July 9, 1990, and a revised G.O. 11 for 1988, filed October 5, 1990. But APL declines to furnish preliminary draft reports and workpapers of the G.O. 11 for 1989 and 1988 (revised) on the ground that its litigation counsel actively participated in their preparation (and indeed in all G.O. filings after this complaint was filed on December 7, 1989.)

APL seeks to protect all internal APL communications during the process of development of the preliminary draft G.O. 11 reports at which counsel were present and to prevent divulging counsel's mental impressions and theories concerning the G.O. filings and the rate of return issue. APL states those drafts were prepared in contemplation of this litigation.

(During depositions of APL personnel, APL states that complainants were permitted to inquire into the substance and theories underlying the G.O. 11 reports, as filed, including

any or all changes between filed reports for different years and the justification for those changes.)

APL concludes that since these preliminary drafts were prepared in anticipation of litigation and must inevitably disclose APL counsel's mental impressions and theories on the rate of return issue, they are entitled to work product protection.

When this complaint was filed in December 1989, APL had filed its G.O. 11 for the previous year 1988 and it showed a rate of return of over twenty percent (21.52 percent actual). APL's rate of return for 1987, as shown by its G.O. 11 for that year was over thirty-five percent (35.23 percent actual).

APL ultimately filed its G.O. 11 for 1989 (on July 9, 1990), showing a decrease in its rate of return to less than six percent (5.92 percent actual). APL filed a revised G.O. 11 for 1988 on October 5, 1990, showing a rate of return of over seven percent (7.44 percent actual). This is a decrease in its rate of return of more than fourteen percent from its earlier G.O. 11. (See table.)

<u>Year</u>	<u>APL's Rate of Return as Shown in G.O. 11</u>
1987	35.23 percent
1988	21.52 percent
1988 (revised)	7.44 percent
1989	5.92 percent

Complainants state that they know of no facts which can explain this precipitous drop in APL's rate of return and thus seek the drafts and workpapers prepared by APL in producing its 1989 and revised 1988 reports.

Complainants contend that the sought documents were generated pursuant to regulatory mandate, not because of this litigation and may cast doubt on the accuracy of APL's filings of the G.O. 11 reports.

Complainants state that APL made significant changes in methodology between that used in preparation of the 1987 and original 1988 G.O. 11's and that employed in the G.O. 11 for 1989 and the revised 1988 G.O. 11. One example is stated to be the treatment of Vessel Operating Fuel expenses. APL charges Guam with an additional "fuel diversion charge." Prior to the 1989 and revised 1988 G.O. 11's, APL established the charge by using service fuel costs times a FEU-mile ratio plus incremental costs based on a model prepared by a Mr. Armstrong. This was altered in the new format to a formula using service fuel costs minus incremental costs times a FEU-mile ratio plus incremental costs, based on a model by a Mr. Zaidlin.

Other areas in which major changes in methodology are stated to have occurred include the Cargo Handling and Terminal Costs and Cargo, Barge, Container Expenses. Each of these has affected APL's rate of return calculation. Complainants argue that they are entitled to see earlier drafts of the revised 1988 and 1989 G.O. 11 to determine exactly what led to these changes.

Discussion and Conclusions

This matter is governed by Rule 26(b)(3) of the Federal Rules of Civil Procedure:

... documents ... prepared in anticipation of litigation or for trial [may be discovered] only upon a showing that the party seeking discovery has substantial need of the materials in the preparation of the party's case and that the party is unable without undue hardship to obtain the substantial equivalent of the materials by other means. In ordering discovery of such

materials when the required showing has been made, the court shall protect against disclosure of the mental impressions, conclusions, opinions, or legal theories of an attorney . . . concerning the litigation.

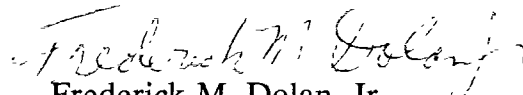
Complainants have made the requisite showing required to support their request. APL has made available all G.O. 11 reports for 1984-1990 and should provide the sought data for 1988 (revised) and 1990.

APL's litigation counsel assert that they actively participated in the preparation of all G.O. 11 filings including the issue 1988 and 1989 drafts since the complaint was filed and seek protection from revealing the opinions and legal theories of its attorneys on the rate of return issue. However, these G.O. 11 reports in preliminary draft form and supporting workpapers are not protected work product because they are created primarily for the business purpose of compiling financial statements which comply with this agency's rules now embodied in 49 C.F.R. 552.1 *et seq.* Counsel for APL cut too fine a line in trying to distinguish between final G.O. 11 reports as filed and supporting workpapers and preliminary reports and their workpapers. This kind of a distinction is administratively undesirable and clearly unacceptable. In the final analysis, the Commission will need full access to this data in order to understand the reasons for the drastic declines in APL's rates of return as shown in its G.O. 11 reports. The Commission has previously asserted its need to reasonable access to supporting data by which the accuracy and sufficiency of the evidence may be tested. Section 7(c) of the Administrative Procedure Act requires decisions to be based on reliable, probative and substantial evidence. In the circumstances the sought documents and workpapers must be produced. Cf. *U.S. Atlantic and Gulf/Puerto Rico Rate Increase*, 5 F.M.B. 426 (1958).

It is Ordered:

(1) American President Lines, Ltd., must produce any earlier drafts of the 1988 or 1989 G.O. filings and any workpapers not previously provided in discovery.

(2) American President Lines, Ltd.'s claim of work product privilege as to the matters in (1), above, is rejected.


Frederick M. Dolan, Jr.
Administrative Law Judge